

STRATEGIC TRANSFORMATION REPORT

The "Denim Lifestyle" Pivot

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Section 1 — Executive Summary

Levi Strauss & Co. stands at a critical inflection point in its evolution from a category leader in denim to a full-fledged lifestyle brand. While the company continues to demonstrate strong financial performance and brand equity, three structural friction points limit its ability to fully capture this opportunity.

1.1 Three Friction Points

The Cross-Sell Barrier. Levi's enjoys deep consumer trust in bottoms — particularly jeans — but this trust does not extend proportionally to tops and broader lifestyle categories. Customers frequently complete their outfits outside the Levi's ecosystem, limiting average order value (AOV) and reducing the effectiveness of Levi's growing DTC channels.

Inventory Risk. Expanding beyond core denim into tops and outerwear introduces a fundamentally different demand profile. Industry benchmarks indicate that only approximately 60% of apparel inventory sells at full price, with the remainder requiring markdowns. Without improved forecasting, faster design cycles, and demand validation mechanisms, unmanaged expansion into lifestyle categories could erode profitability.

The Agility Gap. Levi's current product development cycle spans approximately 16 weeks from concept to store. Today's trends — particularly those driven by TikTok and Instagram — emerge, peak, and decline within 6–8 weeks. This structural mismatch results in missed opportunities to capture trend-driven demand, particularly among Gen Z.

1.2 The Three Proposals at a Glance

To address these challenges, this report proposes three coordinated initiatives — plus a \$5M open contingency reserve — designed to transform Levi's into a data-driven, agile, and fully integrated lifestyle brand.

#	Proposal	Budget	Primary Friction Addressed
P1	Personalized Recommendation Engine	\$15M	Cross-sell barrier
P2	AI-Aided Apparel Design	\$20M	Agility gap + inventory risk
P3	Licensed Capsule Collaborations (F1/McLaren anchor)	\$10M	Inventory risk + brand relevance
—	Contingency Reserve (unallocated)	\$5M	Deployment-triggered as needed

Each initiative targets a specific friction point while also contributing to a broader, integrated system-level transformation. Individually, they deliver targeted value. Collectively, they form a self-reinforcing flywheel described in Section 6.

1.3 Headline Projections (Base Case)

Under a conservative base-case scenario, the \$50M investment is expected to generate the following financial outcomes over six quarters. All figures reflect the revised, conservative modeling detailed in Sections 3, 4, and 7.

Metric	Value
6-Quarter Cumulative Revenue Contribution (P1-P3)	~\$70–80M
6-Quarter Sampling Cost Savings (P2)	~\$18M
Total Program Spend	\$50M
6-Quarter Net Program Contribution	~\$50–60M
Cumulative Cash-Positive Quarter	Q4 (Month 12)
P1 Payback Period (conservative, after ramp)	9–12 months
P2 Payback Period (conservative, after ramp)	24–30 months

All projections are conservative base-case. Sensitivity analysis in Section 7 shows the program remains net-positive even if all revenue assumptions simultaneously miss by 20%.

Section 2 — Market Context & Problem Statement

2.1 Levi's Today: Verified FY2025 Position

Levi Strauss & Co. enters this transformation from a position of genuine strength. In FY2025, the company reported approximately \$6.28 billion in total revenue supported by a balanced channel mix and strong profitability metrics. DTC revenue reached approximately \$3.07 billion, nearly matching wholesale, signaling a successful shift toward higher-margin owned channels. Levi's achieved a record gross margin of 61.7%, reflecting disciplined pricing and operational efficiency.

Metric	FY2025 Value	Source
Net Revenue	\$6.282B (7% organic growth)	Levi's Q4 FY2025 Earnings Release
Full-Year Gross Margin	61.7% (record)	SEC 8-K; Q4 2025 Earnings Call
DTC Revenue	\$3.077B (~49% of Q4); +11% YoY	Q4 2025 Earnings Release
E-Commerce Growth	22% in Q4	Quarterly SEC filings
Women's Segment	+11% FY2025; +16% in Q2 FY2025	Q4 2025 Earnings Call
Tops Growth	+16% in Q2 FY2025	Q2 2025 Earnings Release
FY2026 Management Guidance	4–5% organic growth	Q4 2025 Earnings Call

CEO Michelle Gass has publicly committed the company to a DTC-first, head-to-toe denim lifestyle strategy. This report is the operational plan that executes that commitment.

2.2 Three Friction Points — Each Backed by Data

Friction 1: Cross-Sell Barrier

Tops grew 16% in Q2 FY2025 versus bottoms at 8% — the demand exists, but the attach rate is too low. Public co-purchase research on large-scale apparel datasets (McAuley et al., UCSD Amazon Fashion dataset) shows bottoms-to-tops co-purchase within a 30-day window in roughly 60–65% of cases — a directional benchmark consistent with Levi's stated head-to-toe opportunity. The missing link is internal capture of that demand within the Levi's ecosystem.

Friction 2: Inventory Risk

Industry full-price sell-through for apparel hovers near 60% (FashionUnited industry practitioner benchmark; Institute for Supply Management Monthly Metric, 2024). Q4 2025 gross margin compressed 100 basis points to 60.8%, partially from tariff headwinds. Any additional markdown pressure from lifestyle SKUs that miss lands directly on the gross margin line Levi's has spent two years defending.

Friction 3: Agility Gap

Heuritech — the AI fashion-trend platform used by Louis Vuitton, Dior, and Adidas — publishes that social-media aesthetic signals run 6–12 months ahead of mainstream purchase behavior, and that brands reacting within the first three months of a trend's emergence see up to 15% better full-price sell-through. Levi's traditional design-to-shelf cycle is 12–18 months. By the time a trend-aligned product reaches the floor, the trend has already peaked.

2.3 Competitive Landscape

Competitor	What They Have Done	Why It Matters
Adidas	FindMine outfit-AI deployed on DTC; 95% reduction in merchandiser time per outfit; 8.2% revenue contribution from recommendation-influenced sessions (FindMine/DXL, July 2024)	Direct proof the cross-sell barrier is solvable with the right tooling at a brand of comparable scale
Nike	A.I.R. generative AI design program with 13 elite athletes at Paris 2024; in-house LLM build confirmed by Chief Innovation Officer John Hoke	Major athletic-lifestyle brand institutionalizing AI in product creation — the direction Levi's P2 targets
Tommy Hilfiger	IBM/FIT Reimagine Retail AI pilot analyzing 15,000+ product images; TOMMYNOW see-now-buy-now model compressed production from 18 months to 6 months (combined operating model + supply chain levers, not AI alone)	Establishes aspirational ceiling for cycle compression; validates AI design exploration approach
Pacsun	F1 license held since 2022, renewed late 2024; VP of Merchandising described it as 'one of the strongest-selling projects we've had this year'; multiple styles sold out within a single season	Direct commercial proof the F1 capsule model works in fashion at retail scale

2.4 The \$50M in Context

\$50M is approximately 0.79% of FY2025 revenue — roughly one-third of the FY2025 \$150M share buyback and well below the \$363M of capital returned to shareholders that year. Critically, Levi's already has the precursor infrastructure this program integrates: a 2019-vintage recommendation engine, the BackPocket associate app deployed across 14 countries, NextGen stores with in-store digital tooling, and a Red Tab loyalty program. This is operating leverage on existing assets, not greenfield construction.

Section 3 — Proposal 1: Personalized Recommendation Engine (\$15M)

3.1 What Levi's Has vs. What It Needs

Levi's launched an AI-powered 'Outfitting' feature in late 2025, using computer vision and aggregated purchase data to generate basic outfit recommendations across select digital touchpoints. This validates the strategic direction. The current implementation, however, remains a feature-level capability rather than a platform-level system. It lacks real-time behavioral adaptation during sessions, deep integration of regional and social trend signals, and consistent deployment across all DTC channels.

The proposed \$15M investment is therefore an expansion and integration initiative — not a greenfield build. Two customer personas anchor the engine's weighting logic:

- **Zoe (22, Los Angeles) — Gen Z Trend Chaser.** Browses by look, not category. Enters via TikTok or Instagram. Average session under four minutes. The engine surfaces a full outfit around her anchor item, weighted toward regionally trending pairings.
- **Maya (34, New York) — Women's Wardrobe Builder.** Fit-conscious, repeat purchaser, occasion-driven. The engine weights toward fit-consistent, occasion-matched pairings from her own purchase history.

3.2 Build vs. Buy Analysis

The enterprise personalization platform market is mature and competitively priced. The optimal approach for Levi's is a hybrid architecture: license a best-in-class platform for the base recommendation layer, then build the differentiation on top using Levi's proprietary signals.

Vendor	Key Capability	Indicative Annual Cost	Levi's Fit
Bloomreach (Loomi AI)	350M+ commerce transactions trained; Forrester TEI: 251% 3-yr ROI across composite retail client	\$50K–\$430K/yr	Strong — proven fashion client outcomes
Dynamic Yield (Mastercard)	15–25% conversion improvement documented in enterprise deployments; outfit completion logic	Custom enterprise	Strong — used at large fashion retailers
Constructor.io	Personalized search + recommendations; fashion-vertical focus	Custom enterprise	Strong — search-first architecture

The differentiation layer — the Red Tab integration, BackPocket signal stack, and capsule-scarcity logic — is what separates a generic deployment from a Levi's-specific engine. That proprietary layer is where the bulk of the \$15M is invested.

3.3 The \$15M Budget — Line by Line

Line Item	Amount	What It Covers
Core engine development (collaborative filtering, attribute matching, A/B framework)	~\$7M	Proprietary Red Tab + BackPocket + capsule signal stack; what separates this from a generic deployment
Social trend layer (Heuritech + Brandwatch API licensing; regional signal weighting)	~\$5M	Real-time trend-signal integration; leading indicator for emerging aesthetic demand by region
Platform integration (Levi.com, app, shop-in-shop, Microsoft Super-Agent framework)	~\$3M	Deployment across all DTC touchpoints; connects to existing architecture
Total	\$15M	—

3.4 Signal Stack — Verified Basis

Session Signals

Clickstream-to-purchase prediction is academically well-established. A 2024 study (Taylor & Francis) on a 67M-record, 3.5M-user dataset reported 85.9% purchase-prediction accuracy from session signals alone. Within-session click and dwell behavior is a stronger short-term purchase predictor than long-term history for fashion — particularly for new or infrequent customers.

Co-Purchase Signals

The Amazon Fashion co-purchase dataset (McAuley et al., UCSD — 'Image-Based Recommendations on Styles and Substitutes,' SIGIR 2015) shows bottoms-to-tops co-purchase in approximately 60–65% of sessions or within 30 days. This is a co-occurrence statistic from Amazon's broad apparel category and is used as a directional benchmark, not a Levi's-specific behavioral baseline. Production deployment retrains on Levi's own DTC transaction history.

Regional-Lag Signals

Heuritech's published research shows social-media signals run 6–12 months ahead of mainstream purchase behavior. Brands reacting within the first three months of a trend's emergence see up to 15% better full-price sell-through (Heuritech, 'Social Media Insights: Anticipating Fashion Trends'). Integrated as a leading indicator, the engine can surface emerging-trend SKUs before Levi's own sales data confirms the trend — directly addressing the agility gap.

3.5 Comparable Outcomes (Verified)

Case	Outcome	Verification Level
FindMine x DXL (Destination XL)	By July 2024, interactions with FindMine's outfit recommendations contributed 8.2% of DXL's total revenue; earlier A/B test showed ~8% conversion rate on FindMine-powered pages vs ~2% industry baseline	Vendor case study (findmine.com); PRWeb 2021 launch announcement; Cloud Wars independent coverage
FindMine x Adidas	95% reduction in merchandiser time per outfit; 960% increase in items appearing in shoppable outfit recommendations	FindMine case study; Sourcing Journal independent coverage; Adidas confirmed 'higher AOV' without publishing specific %
Bloomreach Forrester TEI (2024)	251% ROI and \$2.3M cost savings over 3 years for composite 'multibillion-dollar fashion retailer with 60M customers'	Forrester independent TEI study, August 2024 — risk-adjusted, composite, marketing automation suite not pure recommendation engine
McKinsey Next in Personalization	Personalization drives 5–15% revenue lift across retail; reduces CAC by up to 50%; 10–30% marketing ROI improvement	McKinsey 'Value of Getting Personalization Right' (2021, 2023); McKinsey Explainer (2025) — Levi's model uses lower-half of this range

Note: The Bloomreach 251% ROI covers a full marketing-automation suite, not a standalone recommendation engine. The FindMine 8.2% is revenue contribution from recommendation-influenced sessions, not total-site incremental lift. We model Levi's at the lower half of McKinsey's 5–15% range accordingly.

3.6 Revenue Projection — Conservative 2% DTC Lift

The financial model applies a 2.0% conservative lift to Levi's DTC revenue base of \$3.077B — well below the McKinsey 5–15% range and intentionally discounted to reflect partial-credit attribution for a single recommendation layer added on top of an existing platform. The table below shows the math transparently.

Scenario	DTC Lift	Incremental Revenue / yr	Gross Profit (61.7% GM)	Net After Platform OpEx (\$3M/yr)	Payback (after 6-mo ramp)
Conservative	2.0%	\$61.5M	\$38.0M	\$35.0M	9–12 months
Realistic	3.5%	\$107.7M	\$66.5M	\$63.5M	5–7 months
Optimistic (not recommended)	5.0%	\$153.9M	\$95.0M	\$92.0M	~3 months

Quarter-by-quarter ramp: Full revenue lift is not realized until Month 6 (industry standard for personalization platforms; Envive and Forrester both document 60–90 days to first measurable impact and 6–12 months to full ROI realization). At the conservative 2% case, the \$15M investment recovers in 9–12 months after the ramp. This replaces the original draft's 'payback measured in weeks' with a number that can be defended to a CFO.

Quarter	Status	Incremental Revenue
Q1	Foundation — platform contracted, integration build	\$0
Q2	Closed-cohort A/B launch (women's tops attach pilot)	\$1M
Q3	Full A/B at 50% traffic	\$5M
Q4	Full rollout at majority traffic	\$12M
Q5	Mature run-rate begins	\$20M
Q6	Mature run-rate	\$23M
6Q Total	—	\$61M

Section Summary. The Personalized Recommendation Engine directly addresses the cross-sell barrier, unlocking value from Levi's existing customer base. It is the fastest-returning initiative in the portfolio, the data foundation for the other two proposals, and the critical enabler of Levi's transition to a demand-informed operating model.

Section 4 — Proposal 2: AI-Aided Apparel Design (\$20M, Partially Offset)

4.1 The Design Cycle Levi's Is Replacing

Levi's current product development model is built around a traditional sequential design cycle spanning approximately 12–16 weeks from concept to retail (industry baseline per IBM/WWD, 2018). This timeline is acceptable for core denim products with stable demand but is fundamentally misaligned with lifestyle categories driven by 6–8 week social trend cycles.

The limitations are structural: delayed market entry misses trend windows, high dependency on physical sampling increases cost and time, and limited real-time feedback loops lead to suboptimal inventory decisions. The proposed AI-aided design system replaces this with a data-driven, iterative process where digital validation precedes physical production.

4.2 Available Tooling — Verified Vendor Landscape

Tool	Type	Published Pricing	Key Capability
CLO 3D	3D virtual sampling	~\$400/seat/month	Deepest pattern fidelity; production integration; widely cited in enterprise apparel
Browzwear (VStitcher)	3D virtual sampling	~\$200/seat/month	Used inside Nike workflows; strong ERP integration; Bonprix case study: 50%+ sample reduction
Style3D	3D + generative AI	\$35–\$99/seat/month	Sketch-to-3D acceleration; lower-cost entry point for pilot phase
Lalaland.ai	AI model imagery	Custom	Existing Levi's vendor — mandatory DEI governance required post-March 2023 backlash

4.3 Reduction Benchmarks — Verified vs. Vendor-Claimed

The table below separates what is independently verified from what is vendor-published. All financial modeling in this report uses only the verified or conservative figures.

Source	Claim	Status	Model Uses
Tommy Hilfiger TOMMYNOW (2016, IBM/WWD)	18-month production cycle compressed to 6 months (~66%)	Verified: IBM Think Blog, WWD — but this was achieved through combined see-now-buy-now operating model + supply chain levers, NOT AI design alone	Aspirational ceiling only; do not cite as AI-design outcome
Tommy Hilfiger Reimagine Retail (IBM, 2018)	AI used to explore 15,000 Tommy products + 600,000 runway images; qualitative improvement in design exploration	Verified: IBM Think Blog — no quantified COGS or sampling reduction published	Directional precedent for AI in design; no dollar figures attributed
Browzwear/CLO 3D enterprise case studies	30–60% reduction in physical sample rounds	Industry range: Apex Fashion Lab, BusinessDojo, Browzwear published cases; Bonprix (Browzwear): 50%+; Macy's: 61% virtual sampling	Conservative end (30%) used in our model
McKinsey Generative AI in Fashion (2023)	AI in fashion could add \$150–275B to global apparel/luxury operating profits over 3–5 years	Verified McKinsey publication — this is a global industry value pool, NOT a single-company savings figure	Macro context only; NOT applied as a Levi's savings number
Our base-case assumption	30% sampling cost reduction	Conservative bottom of published 30–60% range; below Browzwear/Bonprix actual outcomes	Applied throughout financial model

Note: The '50% design cycle reduction attributed to McKinsey' cited in many industry presentations is NOT a McKinsey-published figure. McKinsey's verified contributions are: (1) the \$150–275B global GenAI value pool in fashion (2023), and (2) 'up to 25% of AI's potential value in fashion will come from the creative side' (McKinsey Podcast, 2025). These are used for context, not as a Levi's-specific savings anchor.

4.4 The \$20M Budget — Line by Line

Line Item	Amount	What It Covers
3D Sampling Pipeline (CLO3D/Browzwear — RFP in Q1)	\$10M (50%)	~150 designer seats x 6 quarters; full fabric library digitization across ~5,000 SKUs; production workflow integration
Intelligence & Scoring Layer	\$4M (20%)	Internal ML build for color/pattern trend-weighting; demand-signal feed from P1 recommendation engine
Digital Validation Pipeline	\$3M (15%)	DTC 'Digital Drops' to test consumer intent before production commits; pre-demand validation for capsule designs

Line Item	Amount	What It Covers
Legal & IP Governance	\$0.5M (2.5%)	IP frameworks for AI-generated designs; DEI governance board (post-Lalaland.ai precedent — non-negotiable)
Stage 2 Performance Reserve	\$2.5M (12.5%)	Performance-gated; deployed only if kill-switch thresholds are cleared in Q3
Total	\$20M	—

4.5 The Capsule Cost-Offset Math (P2 to P3)

A critical advantage of the AI design system is its ability to directly reduce the pre-production cost of the Licensed Capsule Collaboration program (Proposal 3). The calculation below is built from verified practitioner benchmarks.

Input	Conservative	Realistic	Source
Per-style fully-loaded pre-production cost (samples + tech pack + shipping + licensor approvals)	\$1,500	\$3,000	BusinessDojo; AJG Fashion Consulting; Modaknits industry guides
Capsule program: drops per 6 quarters	11	11	P3 drop calendar
Average SKUs per drop	8	8	McLaren capsule precedent

Total pre-production exposure (traditional)	~\$132K–\$264K	~\$132K–\$264K	11 x 8 x per-style cost
Conservative 30% AI-driven reduction	~\$40K–\$79K saved	~\$66K–\$132K saved	Bottom of 30–60% Browzwear/CLO range
Annual savings flowing to P3 fund	~\$40–80K	~\$80–130K	Per-program, per year

The capsule-specific offset is modest in dollar terms but strategically significant: it means the AI Design investment partially self-funds the Capsule Collaboration program, and more importantly, the 40–60% lead-time compression on the sampling cycle is what enables the 2–4 week decoration-layer turnaround that makes the base-stock model viable.

4.6 Cost-Savings Model — Conservative Case

The \$90M annual savings figure in the original draft implied that AI design would reduce approximately 3.7% of total COGS — a number that requires AI to touch direct materials and direct labor, which 3D sampling tooling does not. The clean model below limits the savings claim to the mechanism the tooling actually affects: pre-production sampling costs and marginal sell-through improvement.

Lever 1: Sampling Cost Reduction

Input	Value	Source
Levi's FY2025 implied COGS	~\$2.41B	\$6.282B revenue x (1 – 61.7% GM)
Sampling/pre-production as % of COGS	1–2% (triangulated)	Per-style costs x seasonal SKU counts; Apex Fashion Lab: product dev is 10–15% of collection investment, deflated to enterprise scale
Implied sampling cost base	~\$24M–\$48M (midpoint ~\$35M)	\$2.41B x 1–2%
Conservative 30% AI reduction	~\$7–10M annually	Lower bound of 30–60% industry range
Realistic 40% AI reduction	~\$10–14M annually	Mid-range of 30–60% industry range

Lever 2: Sell-Through Improvement on Non-Denim

Input	Value	Source
Industry full-price sell-through baseline	~60%	FashionUnited 2023 practitioner benchmark; ISM Monthly Metric Oct 2024; consistent across Heuritech, Accelerated Analytics
Non-denim revenue base (estimate)	~\$740M	Levi's segment disclosures; tops, outerwear, lifestyle — the categories most exposed to design-miss risk
Conservative improvement	+2 percentage points (60% → 62%)	Below Rapidious case study of +5.28pp from dynamic pricing alone; AI design contribution is smaller
Realistic improvement	+3 percentage points (60% → 63%)	Mid-range; consistent with McKinsey personalization-driven inventory efficiency benchmarks
Revenue uplift (conservative +2pp)	~\$14.8M revenue / ~\$9.1M gross profit	2% x \$740M x 61.7% GM
Revenue uplift (realistic +3pp)	~\$22.2M revenue / ~\$13.7M gross profit	3% x \$740M x 61.7% GM

Combined: Conservative Annual Benefit and Payback

Component	Conservative	Realistic
Sampling cost savings	\$7M	\$14M
Sell-through gross profit uplift (non-denim)	\$9M	\$14M
Less: ongoing AI/3D platform & talent OpEx	(\$2M)	(\$3M)
Net annual benefit	~\$14M	~\$25M
Payback period (with 9-month ramp to full benefit)	24–30 months	18–22 months

This replaces the original draft's '\$90M annual savings / 2–3 month payback' with a model that separates the mechanism the tooling actually touches (sampling and marginal sell-through) from the mechanisms it does not (direct materials, direct labor). At the conservative case, the \$20M investment recovers in approximately 24–30 months.

Design Cycle Compression Claim. We model a 20–25% design-cycle compression in Year 1, scaling toward 30% by Year 2. This is conservatively below Tommy Hilfiger's TOMMYNOW (66%, achieved with broad operating-model changes) and benchmarked against the 30–60% physical-sample reduction documented in enterprise Browzwear and CLO 3D case studies.

Section Summary. AI-Aided Apparel Design directly addresses both the agility gap and inventory risk, transforming Levi's design process from a linear, intuition-driven model into a data-informed, iterative system. It delivers faster time-to-market, lower pre-production costs, and higher design success rates — and acts as a cost-offset and margin amplifier for the Capsule Collaboration program.

Section 5 — Proposal 3: Licensed Capsule Collaborations (\$10M Pilot)

5.1 Levi's Existing McLaren Track Record

Levi's has done that. Their collaboration with McLaren Racing had two recorded drops — the first one on July 3, 2024, before the British Grand Prix at Silverstone, and the second one on October 17, 2024, before the U.S. Grand Prix at Austin. As mentioned by fashion media, the clothes were already "flying off the shelves" only after days of their launching (Who What Wear, 2024). Levi's Vice President of Global Marketing explicitly states that Austin is "the most attended Grand Prix on the calendar." There you have it. This is the idea.

This proven history of successful collaborations proves the following things. First, Levi's will be able to successfully expand its range of goods from just denim clothing to lifestyle apparel through its collaboration with McLaren Racing. Second, this drop method will be capable of creating high demand for these clothes without needing large amounts of stock on hand. Therefore, the proposed collaboration is not a novel strategy but rather its natural development.

5.2 Why Formula 1 — Verified Demographics

The demographic match between the Formula One fan base and Levi's growth objectives couldn't be closer. According to the 2025 Global F1 Fan Survey (Formula 1 / Motorsport Network, 100,000+ participants from 186 countries)

Metric	Verified Value
Global fan base	827 million; +12% YoY; +63% since 2018
Under-35 share	43%; 57% of all new fans are under 35
Female audience	42% of total; 3 of every 4 new fans are women
U.S. fanbase	52M; +11% YoY; ESPN race viewership +135% vs. 2018
Gen Z sponsor favorability	40% more likely to purchase from F1 partners
Social following	18.7M (2018) to 107.6M (2025); +21% YoY
2025 season attendance	6.7M; 19 of 24 races sold out

11% growth was recorded in Levi's Women's product range in FY2025. It's within the age group of 18–30 that Levi's is the leading denim brand in the U.S. Formula One is attracting just the right individuals that Levi's needs to transform into lifestyle consumers – with 40% of Generation Z Formula One fans already more prone to buy from Formula One partners.

5.3 The Pacsun Proof Point

The fashion brand Pacsun has had the F1 license since 2022, and it was renewed in late 2024. The VP of Merchandising at Pacsun, Richard Cox, said to Modern Retail: "F1 is selling better than other lines we carry in our stores and is one of the best selling collections we have had this season" - and it includes 12 styles sold out midway into the season. Jackets, wovens, shorts, and pants all were doing well which means the collection resonates with all apparel pieces. It sells and there are statistics showing the business case.

5.4 The Print-on-Demand / Base-Stock Model

In terms of one operational improvement within the collection development strategy is the parallel base stock manufacturing approach. For instance, Levi's stocks plain and undecorated base garment in a certain color palette including hoodies, tees, sweatshirts, and hats. The capsule designs are printed after they have been approved, using the DTG or DTF decorating methods, and the goods are shipped to retail

Dimension	Traditional Bulk	Base-Stock + Decoration
Lead time	3–6 months	2–4 weeks for the graphics layer
Per-unit cost	Standard bulk pricing	\$4–10 extra per unit for DTG/DTF decoration
Minimum commitment	High MOQ (200–500 units/SKU)	Effectively zero on the decorated layer
Salvage value if cancelled	20–40% (licensor-marked finished good)	70–90% (undifferentiated base garment — still sellable plain)
Best-fit SKUs	Jeans, jackets, structured garments (traditional route)	Tees, hoodies, sweats, bandanas, caps

It's the salvage value that matters. Should the product be canceled or perform poorly, a barebones hoodie will give you back 70 to 90 cents per dollar spent. But once the item is decorated and completed, you get only 20 to 40 cents back. The difference is precisely what limits the risk in this scenario. Operationally speaking, the framework is proven at scale via platforms like Apliiq (Smart SKU, bicoastal direct-to-garment printing facilities, and same-day production), Printful, Tapstitch, and Gelato. Items requiring extensive assembly, such as the Trucker and 501 collaboration jeans, will remain on conventional manufacturing.

5.5 F1 Licensing Economics

Apparel sports-licensing royalties usually fall between 8 and 18 percent of net wholesale sales based on minimum annual guarantees of the low to mid-six figures (Flowhaven; RoyaltyRange; Licensed Sports Products Blog).

Property	Typical Royalty Rate	Minimum Guarantee
NFL apparel	~12%; premium SKUs 14–18%	\$100K+/year
NBA apparel	~12%	\$30K+/year

Property	Typical Royalty Rate	Minimum Guarantee
F1 (modeled assumption)	12%	~\$750K Year 1 (flagged — actual terms confidential; modeled from sports mid-range)

5.6 The \$10M Budget — Line by Line

Line Item	Amount	What It Covers
Licensing fees + minimum guarantees (McLaren + F1 master)	\$2.5M	8–18% royalty range on forecast capsule revenue + MGs; extends existing McLaren relationship
Base-stock inventory (pre-bulked blanks for 11 drops)	\$2.0M	50,000 base-stock units x ~\$40/unit average landed
Decoration & finishing (DTG/DTF/screen via Apliiq-class partner)	\$1.0M	\$4–10/unit x ~150,000 decorated units across 11 drops
Traditional manufacturing (501s, Truckers, Jackets, Suits)	\$1.5M	Construction-driven SKUs on Levi's existing manufacturing relationships
Drop activation, content, marketing (~\$135K/drop x 11)	\$1.5M	Race-weekend activations; Red Tab early access seeding; creator content
Capsule operations and in-store activation	\$0.8M	Cross-functional ops team; NextGen store integration
Contingency (7%)	\$0.7M	—
Total	\$10M	—

5.7 6-Quarter Drop Calendar

Quarter	Drops	Race Anchor	Notes
Q1	1	McLaren extension (new graphics)	Existing partnership; tests virtual-first sampling via P2
Q2	2	Miami GP; Spanish GP	F1 master mark + McLaren; first base-stock-primary drops
Q3	2	British GP; Belgian/Italian GP	Peak F1 season; European launch
Q4	2	Singapore GP; Austin GP	Austin repeat of the proven 2024 motion
Q5	2	Las Vegas GP; Mexico GP	Proven Pacsun precedent; holiday gifting window
Q6	2	Australian GP; Season-launch capsule	Season-open momentum; second partner optionally introduced

Drop frequency varies conditionally. Second drop in year two is conditioned by year one exceeding 80 percent sell-through. Any drop that is below 50 percent sell-through calls for stop-and-review. Data drives the calendar, not vice versa.

5.8 Revenue Model — Base, Worst, Best

The Year 1 pilot uses the established McLaren relationship — there is no need to find a new licensor, nor any greenfield supply chain.

SKU	MSRP	Units	Gross Sales
Denim Jacket (Track Trucker)	\$180	5,000	\$900,000
Hoodie	\$120	8,000	\$960,000
Graphic Tee	\$45	12,000	\$540,000
Cap	\$45	10,000	\$450,000
Special Jean (501 collab)	\$130	6,000	\$780,000
Total	\$88.54 wtd. avg.	41,000	\$3,630,000

Assumptions: Cost of Goods Sold at 41% retail (conservative compared to Levi's FY2025 estimate ~38.3% based on licensed-trim complexity). Royalty at 12% of net wholesale. 70% DTC, 30% wholesale. The 90% sell-through assumption is maintained through disciplined supply — 41,000 units equals about 0.1% of Levi's sales annually.

	Value
Net Sales	\$2.69M
Less: COGS (41%)	(\$1.34M)
Less: Royalty (12%)	(\$0.32M)
Less: Launch Marketing	(\$0.15M)
Contribution Profit	\$0.85M
Contribution Margin	31.5%

Scenario	Sell-Through	DTC Mix	Net Sales	Contribution	Margin
Upside	95%	80%	\$3.06M	\$1.28M	41.8%
Base	90%	70%	\$2.69M	\$0.85M	31.5%
Downside	70%	50%	\$1.72M	\$0.06M	3.2%

The bottom row of the table shows the downside case. In the case of 70% sell-through with an adverse DTC mix, the pilot makes only marginal profit and does not incur significant losses. There is a defined limit to potential downside. Regardless of which scenario happens, the data gathered on how the lifestyle consumer actually buys can be considered invaluable.

Section Summary. The licensed capsule collaborations serve as an effective way for Levi's to enter lifestyle categories without having to bear too much risk while gaining from a learning opportunity. These collaborations confirm the need for these categories before making any significant investments, create incremental sales opportunities, and improve relevance among young people. Moreover, such collaborations serve as an excellent source of data.

Section 6 — The Flywheel: How the Three Proposals Form One System

The three proposed initiatives are not designed to operate as independent investments. Their true value emerges when they are integrated into a closed-loop system where each component continuously reinforces and amplifies the others. This section describes the specific data flows and precedents that make the flywheel argument defensible — not a marketing analogy.

6.1 Stage 1 — Demand Capture: Recommendation Engine feeds AI Design

The recommendation engine generates a high-resolution, near-real-time signal on consumer preferences:

- Which product combinations are being accepted?
- Which style pairings are being abandoned?
- Which colorways are clustering by region?

This data becomes available 4–8 weeks before it shows up in sell-through data — ahead of the demand signal that traditional design teams rely on.

This behavioral feed flows into the AI Design tool's brief generation layer, shifting product development from 'what designers think will sell' toward 'what consumer-engagement data indicates will sell.' The precedent for this loop is **Stitch Fix's Hybrid Design** program (documented in Stitch Fix's published Algorithms Tour and Glossy, 2018): style-shuffle feedback, written client notes, and social signals are fed into a fitness function for design decisions; new SKUs are generated by recombining attribute 'genes' and tested against client-segment fitness scores before production commits. By 2024, AI-driven recommendations accounted for approximately 75% of selections sent to Stitch Fix clients. McKinsey's 2024 State of Fashion notes this value: 'AI creates so many more options of a particular design than you could manually, so you can avoid investing too much money in creating samples that won't be successful.'

6.2 Stage 2 — Demand Creation: AI Design enables the Capsule Program

Capsule and collaboration programs are lead-time-bound. The classic licensed-collab cycle runs 9–14 months from concept lock to retail. Cultural windows for motorsport or entertainment IP partnerships burn out in 8–12 weeks. AI design tooling directly attacks this constraint by compressing pre-production.

Verified figures: 3D virtual sampling reduces physical sample rounds by 30–60% (Browzwear enterprise case studies; Bonprix: 50%+ reduction; Macy's: 61% virtual sampling adoption). Each eliminated sample round represents approximately 2–3 weeks of calendar at enterprise scale, producing a 3–6 week pre-production compression across a capsule program. Combined with the base-stock model's 2–4 week decoration-layer turnaround, this gives Levi's a realistic path to sub-8-week drop execution — inside the relevant cultural window for an F1 race weekend.

6.3 Stage 3 — Demand Validation: Capsule Data feeds the Recommendation Engine

Capsule drops are forced experiments — deliberately scarce, time-bound, audience-defined releases that produce unusually clean labeled data: who bought, who browsed but did not buy, browse-to-cart-to-checkout funnels by region, sell-through by colorway and fit. This data is far higher-signal per dollar than steady-state catalogue browsing and is directionally the right input for training the recommendation engine's regional and segment models.

The cleanest published precedent is **Nike SNKRS**, which uses drop-based behavioral data to train the recommendation and access-tier models for both SNKRS and Nike Membership commerce. Nike has not published audited dollar attribution for this loop, so the citation is qualitative, not quantitative. The structural mechanism — scarce drop generates high-intent behavioral signal; signal trains downstream personalization — is the defensible argument.

6.4 The Integrated KPI That Proves the Flywheel is Turning

Outfit Attach Rate x Full-Price Sell-Through. This single composite captures the cross-sell unlock (attach rate, driven by P1 and P3), the inventory discipline (sell-through, driven by P2 and P3 base-stock model), and the agility (sell-through within 60 days, driven by P2 cycle compression and P3 lead-time reduction). The program's success is defined as moving this composite materially upward over six quarters.

Connection	Data Flow	Verified Precedent
P1 (Recommendation) to P2 (AI Design)	Aggregated session co-occurrence, style-pairing acceptance, Red Tab purchase affinity exported daily to AI Design ideation layer	Stitch Fix Hybrid Design (Glossy, 2018); McKinsey State of Fashion 2024 on AI creative value
P2 (AI Design) to P3 (Capsule)	30% sampling cost reduction (~\$40–80K freed per program); 3–6 week calendar compression enabling 2–4 week decoration-layer turnaround	Browzwear/CLO 3D enterprise case studies; Bonprix, Macy's reported sample reductions
P3 (Capsule) to P1 (Recommendation)	Each drop generates discrete high-intent behavioral data: colorway preference, regional clustering, browse-to-buy funnel	Nike SNKRS architecture (qualitative precedent); Adidas Confirmed drop-behavior model

Section Summary. The three proposals form a self-reinforcing system where data drives design, design drives demand, and demand generates new data. This flywheel transforms Levi's from a traditional apparel company into a learning system capable of adapting in real time to changing consumer behavior — and creates a capability moat that is difficult to replicate quickly.

Section 7 — 6-Quarter Financial Model

The financial model translates the proposed \$50M transformation into a time-phased investment and return profile over six quarters. The model reflects a realistic J-curve trajectory where upfront capability building is followed by accelerating returns. All figures use the conservative assumptions documented in Sections 3 and 4 — the inflated figures from the original draft have been replaced.

7.1 Spend Profile by Quarter (\$M)

	Q1	Q2	Q3	Q4	Q5	Q6	Total
P1 — Recommendation	3.0	3.0	2.5	2.5	2.0	2.0	15.0
P2 — AI Design	4.0	4.0	3.5	3.5	2.5	2.5	20.0
P3 — Capsule Fund	1.5	1.5	1.5	1.5	2.0	2.0	10.0
Contingency Reserve (unallocated)	0.0	0.5	1.0	1.5	1.0	1.0	5.0
Total Spend	8.5	9.0	8.5	9.0	7.5	7.5	50.0

The Contingency Reserve is held unallocated and deployed only as needed — it is not pre-committed to any initiative. It covers unforeseen execution costs, licensing overruns, and performance-triggered accelerations. It is shown in the spend table for transparency; it does not generate a return line.

7.2 Returns Profile by Quarter (\$M)

Revenue generation begins after initial deployment, with different initiatives contributing at different stages. P1 (Recommendation Engine) drives the earliest returns; P2 (AI Design) contributes through cost savings that build over time; P3 (Capsule) generates both direct revenue and halo lift on core SKUs.

	Q1	Q2	Q3	Q4	Q5	Q6	Total
P1 incremental revenue	0	1	5	12	20	23	61
P2 sampling cost savings	0	0.5	2.0	4.0	5.5	6.0	18.0
P3 capsule gross revenue	0.4	1.3	1.3	1.3	1.3	1.3	6.9
P3 halo lift on core SKUs	0.5	2.0	3.0	3.0	3.5	3.0	15.0
Total Contribution	0.9	4.8	11.3	20.3	30.3	33.3	100.9

Note: P1 returns in Q5–Q6 reflect the conservative 2% DTC lift case, not the original draft's inflated projection. P2 sampling savings ramp gradually as 3D tooling adoption scales across the design organization. P3 halo represents estimated 3% core SKU lift around drop events, consistent with Pacsun's documented 'positive

boost in sales during each launch.'

7.3 Cumulative Program P&L; The J-Curve (\$M)

Applying Levi's blended 61.7% gross margin to revenue lines. P2 savings treated as direct cost recovery.

	Q1	Q2	Q3	Q4	Q5	Q6
Quarterly contribution (gross margin applied)	1	5	11	20	30	33
Quarterly spend	8.5	9.0	8.5	9.0	7.5	7.5
Net quarterly	(7.5)	(4.0)	2.5	11.0	22.5	25.5
Cumulative net	(7.5)	(11.5)	(9.0)	2.0	24.5	50.0

Cumulative cash-positive: Q4 (Month 12). Six-quarter net contribution approximately \$50M against \$50M invested — effectively full payback within the program window. Beyond Q6, the steady-state contribution rate is approximately \$30–35M/quarter against \$5–7M/quarter ongoing operating cost, implying annualized steady-state contribution of approximately \$100–120M.

7.4 Assumptions Table with Sensitivity Analysis

Every assumption is stated explicitly with its source and the impact if it is wrong by 20% in either direction.

Assumption	Source / Benchmark	Conservative	Base	Upside	Sensitivity (±20%)
P1 revenue lift on DTC	McKinsey Next in Personalization (5–15% range); Levi's model uses lower-half to reflect single recommendation layer, not full personalization program	1.5%	2.0%	3.5%	±\$12M cumulative
P2 sampling cost reduction	BusinessDojo 30–50%; Browzwear/CLO enterprise cases 30–60%; Tommy Hilfiger TOMMYNOW cited as ceiling only (not AI-design-specific)	20%	30%	40%	±\$2.8M cumulative
P3 sell-through per drop	Pacsun: 'strongest-selling project, dozen styles sold out'; McLaren Q4 2024 press coverage: 'flying off the shelves'	55%	70%	85%	±\$1.4M gross, ±\$5M halo

Assumption	Source / Benchmark	Conservative	Base	Upside	Sensitivity (±20%)
P3 halo lift on core SKUs	Pacsun: 'positive boost in sales during each launch'; industry norms for licensed-drop halo	1.5%	3.0%	5.0%	±\$3M cumulative
Gross margin applied to revenue lift	Levi's FY2025 verified 61.7%	58%	61.7%	64%	±\$1.6M on ~\$80M rev
Tariff drag on cost base	Q4 2025 earnings call: ~150 bps FY26 headwind; CEO Gass: pricing power available; ~25 countries sourcing	200 bps	150 bps	100 bps	Modeled-in; ±50 bps = ±\$0.13M

Stress test. If all revenue-side assumptions simultaneously miss by 20% on the downside, the six-quarter cumulative net is approximately \$34M against \$50M invested — the program still delivers meaningful return, in approximately 24–30 months instead of 12.

Section 8 — Risk Register

The program is designed with a balanced risk profile where high-impact opportunities are pursued, downside risks are structurally bounded, and performance is continuously monitored. The objective is not to eliminate risk but to ensure risks are identified, quantified where possible, and actively managed through structural safeguards.

Risk Category	Risk Description	Impact	Likelihood	Mitigation Strategy	Residual
AI/DEI (Execution)	Backlash on AI-generated model imagery — Lalaland.ai March 2023 precedent is Levi's own history	High	Medium	Standing AI Imagery Review Board (line item in P2 budget); policy that AI supplements never replaces live diverse models; pre-launch DEI review on all public-facing AI assets	Low–Med
Execution	Delays in integrating recommendation engine across all DTC channels	High	Medium	Phased rollout (web → app → partners); use of existing Microsoft architecture; vendor RFP in Q1	Low
Execution	Adoption resistance from design teams for AI tools	Medium	Medium	Gradual onboarding; human-in-the-loop design model; \$2.5M change management budget in P2	Low–Med
Demand	Recommendation engine fails to improve AOV or conversion after pilot phase	High	Low–Med	Continuous A/B testing; pilot-based optimization before full rollout; kill-switch if no measurable improvement	Low
Demand	Capsule drops fail to resonate with target audience	Medium	Medium	Limited SKU strategy; performance-gated scaling (80% sell-through gate); partner selection based on documented demographics	Low
Inventory	Overproduction in new lifestyle categories leading to markdowns	High	Low	Base-stock model bounds exposure; digital demand validation before committing production	Low
Financial	ROI lower than projected due to conservative adoption	Medium	Medium	Conservative baseline assumptions; diversified value drivers (revenue + cost savings + sell-through)	Low

Risk Category	Risk Description	Impact	Likelihood	Mitigation Strategy	Residual
Strategic	Over-reliance on single F1/McLaren partner in Year 1	Medium	Low	F1 master license + second team partner targeted by Q3; kill-switch: any drop below 50% sell-through halts program	Low
Strategic	Vendor cost-reduction claims overstating real-world results	High	High	Use 30% conservative sampling reduction in model; treat vendor ceilings as upside only; 90-day performance reviews	Low
Strategic	Brand dilution if collaborations deviate from Levi's identity	Medium	Low-Med	Centralized brand governance and design approval framework; partner alignment review before contract	Low

Kill-Switch Triggers

- **Capsule Collaborations:** Sell-through below 50% on any drop triggers a halt-and-review of the full program before further drops are greenlit.
- **Recommendation Engine:** No measurable improvement in AOV or attach rate after the Q2 pilot phase triggers a model redesign before Q3 scaling.
- **AI-Aided Design:** Failure to demonstrate cost savings or cycle-time reduction meeting defined thresholds by end of Q3 triggers a gate review before the \$2.5M Stage 2 Performance Reserve is released.

These triggers are not afterthoughts — they are embedded into the design of all three proposals and ensure that capital is not continuously allocated to initiatives that do not meet performance expectations.

Section 9 — Why These Three, Why This Allocation

9.1 Kill-Switch Framework — Selection Criteria

The selection of the three initiatives is based on their ability to collectively address the three core friction points — cross-sell barrier, inventory risk, and agility gap — while creating a scalable, integrated system. Every candidate proposal was screened against four criteria:

- **(a) Verifiable benchmark:** Is there a published, defensible revenue or cost-impact benchmark from a named comparable?
- **(b) Stack integration:** Does it integrate with Levi's existing tech stack rather than requiring a greenfield build?
- **(c) Tariff/macro resilience:** Does it survive a 150+ bps gross margin shock?
- **(d) 18-month executability:** Can it be contracted, built, piloted, and producing returns within six quarters?

Proposal	(a) Benchmark	(b) Stack Fit	(c) Macro	(d) Execution	Decision
P1 — Recommendation Engine	PASS: FindMine 8.2% DXL; Bloomreach 251% ROI TEI	PASS: upgrades 2019 engine; Red Tab + BackPocket ready	PASS: revenue lift offsets headwinds	PASS: 6Q rollout achievable	ACCEPTED
P2 — AI Design	PASS: Browzwear 30–60% sample reduction; Tommy Hilfiger TOMMYNOW directional ceiling	PASS: integrates with PLM; Levi's existing AI vendor relationships	PASS: cost reduction buffers tariff drags	PASS: 3D tooling license is fast	ACCEPTED
P3 — Capsule Collabs	PASS: Pacsun 'strongest project'; McLaren 2024 drops already executed	PASS: extend existing McLaren partnership; no new infrastructure	PASS: base-stock model bounds inventory risk	PASS: existing partner; operational	ACCEPTED

9.2 Why \$15M / \$20M / \$10M / \$5M

- **\$20M to P2 (AI Design):** The design cycle is the longest structural constraint and the most durable cost line in the portfolio. Tooling + integration + change management at Levi's scale absorbs this allocation; underfunding kills both the P3 cost-offset and the agility gap fix. It is the largest line because the underlying problem is the largest.
- **\$15M to P1 (Recommendation):** The platform license is sub-\$5M. The bulk of the budget is the proprietary Red Tab + BackPocket + capsule signal stack that separates a Levi's-specific engine from a generic deployment. Underfunding the proprietary layer means parity with competitors, not advantage.
- **\$10M to P3 (Capsule):** A larger budget exceeds licensing, base-stock, and activation needs and creates pressure to over-commit to single-partner concentration. \$10M for 11 drops is the right pilot scale.
- **\$5M Contingency Reserve (unallocated):** Held open to cover unforeseen execution costs, licensing overruns, performance-triggered accelerations, or integration challenges across the three proposals. Deployment is discretionary, not pre-committed. This replaces the original Kiosk allocation — Kiosks were deferred because they require stabilized lifestyle inventory as a precondition (that precondition is what P1, P2, and P3 now build).

The allocation achieves a deliberate portfolio balance: P1 generates the fastest returns, P2 builds the longest-duration capability, P3 validates demand in controlled experiments, and the Contingency Reserve protects execution across all three.

Section 10 — Conclusion and Call to Action

10.1 The Investment Thesis

Levi Strauss & Co. does not face a demand problem — it faces a capture, translation, and execution problem. Customers already trust the brand, engage with its products, and demonstrate clear intent to purchase across categories. The company's current operating model limits its ability to convert that intent into higher-value transactions, respond to rapidly evolving trends, and scale beyond its historical strength in denim.

The proposed \$50M transformation directly addresses these constraints by shifting Levi's from a traditional apparel pipeline to a data-driven, demand-informed system. The investment thesis is simple:

Levi's does not need more inventory — it needs more intelligent inventory.

By combining personalization, AI-driven design, and controlled experimentation, Levi's can unlock value that already exists within its customer base while simultaneously building capabilities for future growth.

10.2 What Levi's Looks Like at the End of Q6

- Outfit attach rate has moved materially upward — verifiable against Red Tab and BackPocket data from Day 1.
- Full-price sell-through on non-denim has expanded, absorbing tariff drag without further pricing actions.
- Design cycle on capsule lifestyle SKUs has compressed from 12–16 months to 8–10 months in Year 1, with a path to 30% compression in Year 2.
- The capsule program operates as the 'ongoing business' CEO Gass committed to publicly — self-funding by Q4 and throwing halo lift onto core 501s.
- Six-quarter net program contribution of approximately \$50M against \$50M invested — effectively full payback within the program window, with steady-state annual contribution of ~\$100–120M thereafter.

10.3 The Bounded Failure Modes

A defining strength of the proposed strategy is that failure, where it occurs, is contained and manageable. If P1's true revenue lift is half the modeled 2%, the program still pays back inside 30 months. If P2's sampling reduction is 20% rather than 30%, the P3 offset narrows but the system holds. If a single capsule drop fails, the kill-switch halts the program and base-stock salvage preserves 70–90% of the inventory dollar. Even if all revenue assumptions simultaneously miss by 20%, the cumulative net position remains approximately +\$34M. This is an asymmetric risk-return profile — upside is substantial, downside is structurally limited.

10.4 The Ask

We recommend approval of the \$50,000,000 Transformation Wave investment, with execution guided by:

- Phased deployment across six quarters from Day 1 of funding
- Performance-based scaling and clearly defined kill-switch thresholds for each initiative
- Continuous monitoring against the integrated KPI: Outfit Attach Rate x Full-Price Sell-Through
- \$5M Contingency Reserve held unallocated and deployed only as needed

This is not a speculative investment — it is a targeted, capability-driven transformation built on verified industry benchmarks, Levi's existing infrastructure, and proven consumer behavior patterns. The decision is not whether Levi's should evolve, but how quickly and effectively it can do so.

Levi's has already built one of the most iconic brands in apparel. The opportunity now is to transform that brand into a modern, intelligent, and adaptive system — one that captures the full value of its customers, operates at the speed of the market, and sustains growth in an increasingly competitive landscape.

This transformation is not about changing what Levi's is. It is about enabling what Levi's can become.

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